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UBI

Given the current concerns surrounding the economy, UBI has once again become a subject of great consideration. Its advocates would no doubt argue that UBI could have greatly minimized many of the economic hardships of the pandemic, a position that certainly has merit; one could easily make the case that given the Security it would provide, its influence on wages and its effect on consumption spending--and therefore on the economy as a whole--UBI would have had a net positive effect on the economy.

The security offered by a basic income, to many, would be the most pertinent to the immediate welfare of American citizens. Given the rise in unemployment due to the pandemic, UBI would have undoubtedly allowed many Americans to cover their basic needs, particularly if the pandemic were to continue for an extended period of time. Even beyond the effect on specific individuals, there would be various positive secondary effects from the increased wealth of unemployed Americans; mortgages, bills and rent being covered would help keep a domino effect of defaulting on debts from occurring. This security of UBI will also be critical in the recovery of the economy; UBI would reduce the risk and cost associated with the movement of labor, increasing mobility and allowing for labor needs to be met more quickly in a recovering economy.

Furthermore, UBI would also help workers who remain employed due to the importance of their job. UBI, by increasing their wealth, would also raise their reservation wage, forcing employers to raise wages in order to retain their workforce. Naturally, this would also give essential workers who do not wish to put themselves at risk of contracting the virus but are currently unwilling to risk unemployment some slack by eliminating some of the disutility of unemployment and bolstering the expected value and minimizing the risk of that alternative.

UBI would also help prevent some part of the fall in consumer spending; the additional money would allow consumers to spend more money on consumption goods and services, acting as a fiscal stimulus and increasing overall economic activity by an amount greater than the cost of UBI thanks to the Keynesian multiplier. Consequently, some unemployment would be prevented, fewer small businesses would go bankrupt and the drop in the market would have been less severe, protecting some part of people’s investments and savings.

Ultimately, however, the effects of UBI are not entirely unambiguously positive; for instance, UBI could very well decrease labor force participation. Indeed, even without UBI, the number of “discouraged workers” increased in the US after the housing crisis. Naturally, UBI covering the basic needs of the population would cause many more to choose not to return to the labor force. There are multiple reasons that may lead to workers choosing to work before the pandemic but not after in terms of economic theory, of which preferences modelled by beta-delta discounting could be one; workers may prefer to keep working when they have jobs, but may find that in the present, they do not wish to find work due to the disutility of job hunting. UBI, by bolstering the option of inaction, may cause many to stop working entirely, leading to a decline in overall output. Other issues may arise from changing our social safety net to a system without means testing, such as, for example, disabled citizens with higher costs receiving the same amount of money as able bodied citizens, though such claims are somewhat unfair without the context of how UBI would be implemented.

In the end, it is the opinion of many that UBI would help protect both the most vulnerable members of the economy and the economy as a whole; whether it is looked at through a normative lens of rawlsian preferences or by looking at numbers like the GDP and unemployment, it appears to have a litany of positive externalities, at least in a vacuum.